



Guidelines for Review of Abuse of Market Dominance

[Effective Dec. 30, 2021] [Public Notice No. 2021-18 of the Korea Fair Trade Commission,
partially amended Dec. 30, 2021]

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I. Purpose

The purpose of this Public Notice is to set forth criteria for reviewing whether conduct of a business entity holding a market-dominant position constitutes an abuse of market dominance, pursuant to Paragraph (2) of Article 5 (Prohibition on Abuse of Market Dominance) of the *Monopoly Regulation and Fair Trade Act* (hereinafter referred to as the “Act”) and Paragraph (6) of Article 9 (Types and Criteria of Abusive Practices) of the Enforcement Decree of the Act (hereinafter referred to as the “Decree”).

II. Criteria for Defining the Relevant Market

The “relevant market” refers to a market wherein a competitive relationship exists or may exist. It is defined by reference to the relevant product, the geographic area, the level of trade, or the customer group.

1. Relevant Product (Goods or Service Market)

a. The relevant market may be defined as the group of goods or services to which representative purchasers (or sellers) of the goods or services at issue would switch their purchases (or sales) if the price of the relevant goods or services were increased (or decreased) by a meaningful and significant amount for a considerable period.

b. The determination of whether particular goods or services belong to the same relevant market shall be based on the following factors:

- (1) Similarity in the function and utility of the goods or services;
- (2) Purchasers’ perception of substitutability and their related purchasing behavior;
- (3) Sellers’ perception of substitutability and their related decision-making behavior;
- (4) The Korean Standard Industrial Classification publicly notified by the Commissioner of Statistics Korea under Paragraph (1) of Article 22 (Standard Classification) of the *Statistics Act*.

2. Geographic Area (Geographic Market)

a. The relevant market may be defined as the entire geographic area in which representative purchasers (or sellers) would switch their purchases (or sales) if the price in a specific region were increased (or decreased) by a meaningful and significant amount for a considerable period, assuming prices in all other regions remain constant.

b. The determination of whether a specific area belongs to the same relevant market shall be based on the following factors:

- (1) Characteristics of the goods or services (e.g., perishability; susceptibility to deterioration or damage) and the seller’s business capability (e.g., production capacity; scope of sales network)

- (2) Transportation costs
- (3) Purchasers' perception of the feasibility of switching their geographic market and their related behavioral patterns
- (4) Sellers' perception of the feasibility of switching their geographic market and their related decision-making behavior; and
- (5) Temporal, economic, and legal barriers to switching geographic markets

3. Level of Trade

The relevant market may be defined separately for each level of trade, such as manufacturing, wholesale, or retail.

4. Customer Groups

Where a specific group of purchasers (or sellers) can be distinguished based on the goods or services, geographic area, or level of trade—due to the characteristics of the purchasers (or sellers) or the specificity of the goods or services—the relevant market may be defined separately for each such group.

III. Criteria for Determining a Market-Dominant Position

The determination of whether a business entity holds a market-dominant position shall be made comprehensively by considering factors such as market share, the existence and degree of entry barriers, the relative size of competing business entities, the possibility of concerted acts among competitors, the existence of substitute products or adjacent markets, the ability to foreclose the market, and financial capacity.

1. Market Share

A business entity whose market share in the relevant market falls under one of the following categories shall be presumed to be market dominant:

- a. A single business entity whose market share is 50% or more; or
- b. The combined market share of not more than three business entities is 75% or more; provided that any business entity with a market share of less than 10% shall be excluded from such calculation.

2. Existence and Degree of Entry Barriers

a. Where new entry into the relevant market can be readily achieved within a short period, the likelihood of a business entity being market dominant is generally lower.

b. In assessing the feasibility of new entry, the following factors shall be considered:

- (1) Legal or institutional entry barriers
- (2) Minimum capital requirements
- (3) Production technology conditions, including patents or other intellectual property rights
- (4) Geographic or locational conditions
- (5) Conditions for procuring raw materials
- (6) The degree of vertical integration in distribution and the cost of establishing a sales network
- (7) The degree of product differentiation
- (8) The market share and trends of imports
- (9) Tariff rates and non-tariff barriers

c. New entry may be deemed easy if any of the following conditions applies:

- (1) A business entity has newly entered the market within the past three years;
- (2) A business entity has publicly announced its intent to enter the relevant market and has a concrete investment plan; or
- (3) A business entity exists that could participate in the relevant market without substantial modification of existing production facilities—and is expected to do so within a short period—if a meaningful and significant price increase persists in the market, without incurring substantial entry or exit costs.

3. Relative Size of Competing Business Entities

- a. Where competing business entities are relatively large in scale compared to the business entity, the likelihood of the entity being market dominant may be lower.
- b. In assessing the relative size of competitors, the following factors shall be considered:
 - (1) Market shares of competing business entities;
 - (2) Production capacities of competing business entities;
 - (3) The proportion of raw material purchases or supplies held by competing business entities; and
 - (4) The financial capacity of competing business entities.
- c. Where large-scale purchasing or supplying business entities exist in the relevant market (excluding affiliates of the business entity), the likelihood of the business entity being market dominant may be lower. For this purpose, a “large-scale purchasing or supplying business entity” refers to a business entity whose purchase or supply volume accounts for a proportion of the total domestic supply in the relevant market that meets the market-share presumption threshold set forth in Article 6 of the Act (Presumption of Market Dominance).

4. Possibility of Concerted Acts among Competitors

- a. Where explicit or tacit concerted acts among business entities concerning price, quantity, or other terms of trade can easily occur, the likelihood of a business entity being market dominant may increase.
- b. In assessing the possibility of concerted acts among business entities, the following factors shall be considered:
 - (1) Whether, in recent years, the prices of goods or services in the relevant market have been significantly higher than the average prices of similar goods or services in other markets;
 - (2) Whether domestic prices have been significantly higher than export or import prices (accounting for tariffs and transportation costs);
 - (3) Whether demand for the goods or services in the relevant market has remained stable over several years, with competing business entities maintaining stable market shares;
 - (4) Whether the goods supplied by competing business entities are highly homogeneous and whether their conditions for production, sales, and purchasing are similar;
 - (5) Whether information regarding the business activities of competitors is easily accessible; and
 - (6) Whether any illegal concerted acts occurred in the past.

5. Existence of Substitute Products and Adjacent Markets

- a. Where substitute products exist or adjacent markets constrain the relevant market, the likelihood of a business entity being market dominant may be lower.
- b. In determining whether substitute products or adjacent markets exist, the following factors shall be considered:

(1) Where, despite similarity in function and utility, goods or services are regarded as constituting separate markets due to price or other factors, the extent to which such goods or services constrain the relevant market, including potential developments in production technology and the similarity of distribution channels.

(2) Where markets are defined separately by geographic area, the extent to which adjacent geographic markets constrain the relevant market, including geographic proximity between the markets, the availability of transportation, potential developments in transportation technology, and the scale of business entities operating in adjacent markets.

6. Ability to Foreclose the Market

Where the ratio of purchases or supplies of raw materials by the business entity (including its affiliates)—calculated as (raw-material purchase or supply amount ÷ total domestic supply amount of the raw material)—meets the market-share presumption threshold set forth in Article 6 of the Act (Presumption of Market Dominance), the likelihood that the business entity is market dominant may be higher.

7. Financial Capacity

Where the financial capacity of the business entity is significantly greater than that of competing business entities, the likelihood that the business entity is market dominant may be higher. In assessing financial capacity, factors such as the ability to raise equity or debt financing, sales volume, profits, net profit margin, cash flow, access to capital markets, and the financial capacity of affiliated companies shall be considered.

8. Other Factors

Other relevant factors include the extent to which trading partners can switch away from the business entity to alternative suppliers or customers, and whether the business entity possesses new technology or industrial property rights that affect competition in the relevant market.

IV. Detailed Types of, and Criteria for, Abuse of Market Dominance

1. Unfair Determination, Maintenance, or Change of Prices (Article 5(1)(1) of the Act)

Where, without justifiable grounds, a business entity significantly increases or moderately decreases the price of goods or service fees compared to changes in supply and demand or changes in costs required for supply (limited to the normal range observed in similar or related industries)(Article 9(1) of the Decree).

(1) The “price of goods or service fees” shall, in principle, be based on the price applied to cash payments; provided, however, that where a different price is generally applied under customary trading practices, such price shall be applied.

(2) “Changes in supply and demand” refers to changes in factors relating to supply and demand that may affect the price of the relevant goods or services. In such cases, whether supply and demand for the relevant item have remained stable over a considerable period shall be considered.

(3) “Changes in costs required for supply” refers to variations in expenses related to price determination, such as material costs, labor costs, manufacturing expenses, selling and general administrative expenses, and non-operating costs.

(4) “Similar or related industries” shall, in principle, be determined primarily by reference to the relevant market; provided, however, that where such determination is unreasonable or

impracticable, substitute or adjacent markets may also be considered.

(5) In determining whether costs are “at a normal range,” both individual cost items and total costs shall be assessed on a comprehensive basis, taking into account the financial condition of the business entity, trends in cost changes, and the cost structures of other business entities for comparable items.

(6) Whether a business entity “significantly increases or moderately decreases” the price shall be determined on a comprehensive basis, taking into account recent price movements and supply-and-demand conditions for the relevant item, the producer price index for such item, the rate of price increase in the business entity’s export markets, and whether the business entity holds a position to lead price increases in the market.

2. Unfair Control of Sales of Goods or Provision of Services (Article 5(1)(2) of the Act)

a. Where, without justifiable grounds, a business entity substantially reduces the supply of goods or services compared to recent trends (Article 9(2)(1) of the Decree)

(1) “Recent trends” shall be determined by examining supply volumes over a considerable period, broken down by product, geographic area, trading partner, and season, while taking into account: (i) product shelf life, (ii) the factors relevant to changes in supply and demand under Paragraph 1(2), and (iii) the factors relevant to changes in costs required for supply under Paragraph 1(3).

(2) “To substantially reduce the supply” refers to significantly reducing the quantity of goods released to the market by adjusting production or inventory of the relevant item. In such cases, the following matters shall be considered, taking into account inventories and shipments of directly operated distributors or sales companies:

- (i) Whether a price increase of the relevant item occurred within a certain period after the reduction in supply.
- (ii) Whether, within a certain period after the reduction, sales revenue or operating profit of the business entity (including its affiliates) for the relevant item increased.
- (iii) Whether, within a certain period after the reduction, the business entity (including its affiliates) released a new product similar to the existing item.
- (iv) Whether a business entity (including its affiliates) producing raw materials for the relevant item maintained normal production of related products for its own use while reducing the supply of such raw materials to other business entities.

b. Where, without justifiable grounds, a business entity reduces the supply of goods or services despite a shortage at the distribution stage (Article 9(2)(2) of the Decree)

The “shortage at the distribution stage” refers to scarcity arising in distribution processes prior to final consumption by end users, typically during peak-demand seasons.

3. Unfair Obstruction of Other Business Entities’ Business Activities (Article 5(1)(3) of the Act)

Where a business entity directly or indirectly engages in any of the following conduct and thereby makes it difficult for another business entity to conduct its business (Article 9(3) of the Decree)

(1) “Indirectly” refers to causing a specially related person or another party to engage in the relevant conduct.

(2) In determining whether the conduct “makes it difficult for another business entity to conduct its business,” the other business entity’s production, financial, and sales activities shall be considered on a comprehensive basis, including cases where there is a likelihood that such activities will be

materially impeded.

a. Where, without justifiable grounds, a business entity obstructs another business entity's purchase of raw materials necessary for its production activities (Article 9(3)(1) of the Decree)

(1) "Raw materials" include parts and ancillary materials.

(2) "To obstruct the purchase of raw materials" includes, for example: (i) substantially increasing its own purchases of such raw materials beyond reasonable requirements; or (ii) compelling or inducing suppliers of the raw materials not to supply the relevant raw materials to other business entities.

b. Where, contrary to normal business practices, a business entity hires personnel essential to another business entity's business activities by providing, or promising to provide, excessive economic benefits (Article 9(3)(2) of the Decree)

"Personnel essential to another business entity's business activities" refers to any of the following; provided, however, that in subparagraphs below, "including technicians" refers to cases in which such a large number of technicians are recruited as to cause significant harm to the production activities of the relevant business entity:

(1) Technical personnel (including technicians) who have served for a long period at the relevant business entity

(2) Technical personnel (including technicians) who have been specially trained by the relevant business entity at considerable expense

(3) Technical personnel who receive special treatment from the relevant business entity

(4) Technical personnel who possess important business information of the relevant business entity and are likely to disclose it

c. Where, without justifiable grounds, a business entity refuses, suspends, or restricts another business entity's use of, or access to, elements essential to the production, supply, or sale of goods or services (Article 9(3)(3) of the Decree)

(1) "Elements essential to the production, supply, or sale of goods or services" (hereinafter "essential elements") include tangible or intangible assets, such as networks or key facilities, and must satisfy all of the following requirements:

(i) without access to the essential elements, it is practically impossible to produce, supply, or sell the relevant goods or services, or to participate in the relevant market, or a persistent, significant, and unavoidable competitive disadvantage would result;

(ii) the essential elements are exclusively owned or controlled by a particular business entity; and

(iii) it is practically, legally, or economically impossible for a person seeking access to reproduce the essential elements or replace them with alternatives.

(2) "Another business entity" in this paragraph refers to a business entity that participates in the relevant market in which the holder of the essential elements or its affiliate participates or is reasonably expected to participate in the near future.

(3) "To refuse, suspend, or restrict" includes not only an explicit refusal, suspension, or restriction but also conduct that produces a substantially equivalent effect, including:

(i) presenting unfair prices or conditions that make access to the essential elements practically or economically impossible; or

(ii) imposing unfairly discriminatory prices, exclusive conditions, or other unfair terms (including

tying), as compared with those applied to existing users of the essential elements.

(4) In determining whether “justifiable grounds” exist, the following factors shall be considered:

- (i) Whether providing the essential element would significantly impair the business entity’s ability to obtain reasonable compensation for its investment; provided that a reduction in profit due to enhanced competition shall not be deemed such impairment.
- (ii) Whether supplying the essential element would be impossible without significantly reducing the volume supplied to existing users.
- (iii) Whether providing the essential element would be likely to materially degrade the quality of services already being provided.
- (iv) Whether providing the essential element is technically impossible due to incompatibility with applicable technical standards.
- (v) Whether providing the essential element would pose risks to the life or physical safety of service users.

d. Other practices that make it difficult for another business entity to conduct its activities (Article 9(3)(4) of the Decree), including:

- (1) Unfairly refusing to deal with a particular business entity, or substantially restricting the quantity or content of goods or services supplied or purchased.
- (2) Imposing conditions on a trading partner that are unreasonable in light of normal trading practices.
- (3) Unfairly discriminating in price or other transaction terms against a trading partner, relative to the terms applied to the business entity itself or to other trading partners.
- (4) Unfairly compelling a trading partner to engage in a transaction or practice disadvantageous to it.
- (5) After having provided business funds to a trading partner, without justifiable grounds, demanding immediate repayment of the loan in full.
- (6) Unfairly obstructing the completion of necessary procedures (such as approvals or recommendations by relevant institutions or organizations) required for another business entity’s continued business operations.
- (7) Unfairly using judicial or administrative procedures—such as patent infringement actions or invalidation proceedings—relating to intellectual property rights, to impede another business entity’s business activities.

4. Unfair Obstruction of Market Entry by New Competitors (Article 5(1)(4) of the Act)

Where a business entity directly or indirectly engages in any of the following conduct and thereby makes it difficult for new competitors to enter the relevant market (Article 9(4) of the Decree):

- (1) “Indirectly” refers to causing a specially related person or another party to engage in the relevant conduct.
- (2) “New competitor” refers to a business entity that seeks to newly enter the relevant market, or a business entity that has newly entered but has not yet commenced sales.
- (3) In determining whether the conduct “makes it difficult for new competitors to enter the relevant market,” the production, financial, and sales conditions of a new competitor shall be considered on a comprehensive basis, including cases where there is a likelihood that entry will be materially impeded.

a. Where, without justifiable grounds, a business entity enters into an exclusive dealing agreement with a distributor with which it trades (Article 9(4)(1) of the Decree)

(1) “Distributor” refers to a trading partner other than an end consumer.

(2) “Exclusive dealing agreement” refers to an agreement under which a distributor is supplied with goods or services on the condition that it handles only the goods or services of the business entity itself (or those designated by it) and refrains from handling the goods or services of other business entities.

b. Where, without justifiable grounds, a business entity purchases rights or licenses essential to the continued business activities of an existing business entity (Article 9(4)(2) of the Decree).

“Rights or licenses essential to continued business activities” include intellectual property rights (including patents and trademarks), licenses or authorizations issued by administrative authorities or trade associations, and any other rights customarily recognized in the relevant market.

c. Where, without justifiable grounds, a business entity refuses or restricts a new competitor’s use of, or access to, essential elements necessary for the production, supply, or sale of goods or services (Article 9(4)(3) of the Decree).

In such cases, the provisions of Paragraph 3(c) shall apply *mutatis mutandis*.

d. Where a business entity engages in any of the following conduct and thereby unjustifiably hinders the entry of new competitors (Article 9(4)(4) of the Decree):

(1) Where, without justifiable grounds, a business entity refuses to sell to or purchase from, or reduces transactions with, another business entity that maintains, or intends to maintain, a trading relationship with a new entrant.

(2) Where a business entity hinders, by unfair means, the completion of necessary procedures (including approvals or recommendations by relevant authorities or organizations) required for competitors’ market entry.

(3) Where, without justifiable grounds, a business entity unfairly adjusts the supply or procurement of raw materials (including parts and ancillary materials) essential to the production of the relevant goods, thereby hindering competitors’ entry.

(4) Where a business entity unfairly utilizes patent infringement actions, patent invalidation proceedings, or other judicial or administrative procedures relating to intellectual property rights to hinder competitors’ entry.

5. Unfair Trade Practices to Exclude Competitors (first part of Article 5(1)(5) of the Act)

a. Where a business entity unfairly supplies goods or services at a price significantly below, or purchases them at a price significantly above, the normal transaction price, thereby causing or being likely to cause the exclusion of competitors (Article 9(5)(1) of the Decree)

(1) In determining whether goods or services are supplied at a lower price or purchased at a higher price, the degree of deviation from the normal transaction price, the quantity and duration of the supply or purchase, and the characteristics of, and supply-and-demand conditions for, the relevant goods or services shall be comprehensively considered.

(2) In determining whether there is a likelihood of excluding competitors, factors such as the purpose of the conduct, the existence of substitute products or adjacent markets, and the relative market positions and financial capacities of the relevant business entity and its competitors shall be comprehensively considered.

b. Where a business entity unfairly trades with a trading partner on the condition that the trading partner shall not trade with a competitor (Article 9(5)(2) of the Decree).

In determining whether such conditional dealing restricts competition, factors such as the ease with which competitors can secure alternative trading partners, the purpose, duration, and scope of the transaction at issue, and distribution practices in the relevant industry shall be comprehensively considered.

6. Criteria for Determining Anti-competitive Effects

a. General principles

(1) In determining whether any practice under Article 5 of the Act has anti-competitive effects, the following factors, among others, shall be considered on a comprehensive basis. The items listed below set out major criteria for assessing anti-competitive effects, and the omission of any item shall not preclude its consideration, where relevant.

(2) In determining whether conduct has anti-competitive effects, methods such as comparing market conditions in the relevant market with and without the suspected abuse of market dominance, or comparing it with conditions in similar or adjacent markets, may be utilized.

(3) The factors listed herein are not mutually exclusive. Multiple anti-competitive effects, or the likelihood thereof, may arise simultaneously, and one factor may be both a cause or a consequence of another. For example, a reduction in the diversity of goods or services available to consumers may reduce competitive pressure in the relevant market, thereby leading to price increases or output reductions.

b. Price increases or output reductions

(1) Whether prices for goods or services in the relevant market—or for goods or services in adjacent markets that are directly or indirectly affected—have increased or are likely to increase, or whether output has decreased or is likely to decrease, as a result of the conduct shall be considered on a comprehensive basis.

(2) In assessing price-increase or output-reduction effects, it shall be taken into account that a considerable period of time may be required for such effects to materialize in the market, depending on the characteristics of the industry or of the alleged violation.

<Example> Where a telecommunications operator providing enterprise messaging services supplies its service at a price below the network usage fee imposed on competing messaging service providers, competitors may be excluded from the market. Even if prices decrease in the short term, anti-competitive effects may be found in light of potential medium- to long-term price increases resulting from the exclusion of competitors.

(3) Price increases or output reductions may also be the ultimate consequence of other anti-competitive effects, such as foreclosure (as described below) or increased costs to competitors.

c. Restriction of variety of goods or services

(1) Whether the conduct limits or reduces consumers' opportunities to purchase a diverse range of goods or services—including goods or services that are lower-priced, substitutable, or complementary to those supplied by the market-dominant business entity—shall be considered.

(2) Where, as a result of the conduct, the number of significant competitors decreases, consumers' ability to choose among a diverse range of goods or services may be restricted.

<Example> Where a market-dominant business entity enters into an exclusive distribution

agreement with a large retail store, thereby preventing competitors offering relatively cheaper kiwis from selling through the same retailer, such conduct restricts the variety of kiwis available to consumers.

(3) Restriction on variety may also be the ultimate consequence of other anti-competitive effects, such as hindering innovation.

d. Hindering innovation

(1) Whether the conduct undermines incentives for innovation that benefits consumers—such as innovation in technology, research and development, services, or product quality—shall be considered.

<Example> Where a market-dominant business entity in the PC operating-system market bundles application software (a separate product) with its operating system, thereby discouraging independent software developers from engaging in further development, such conduct may be found to hinder innovation.

(2) Hindered innovation may also be the ultimate result of other anti-competitive effects, such as foreclosure or increased costs to competitors.

e. Foreclosure Effects

(1) Whether the conduct forecloses, or is likely to foreclose, competitors' opportunities to enter the market or expand shall be considered. Foreclosure may reduce the number of effective competitors, weaken competitive pressure on the market-dominant business entity, and consequently result in anti-competitive effects, including price increases, output reductions, restrictions on variety, or hindered innovation.

- In assessing the magnitude of foreclosure effects, the following factors shall be considered on a comprehensive basis: the extent to which competitors' access is obstructed at a given time; the significance of the foreclosure for competitors' (including potential competitors') entry or expansion; trends in market shares; and the reputational impact on trading partners of dealing with competing business entities.

<Example 1> Where a company A with a substantial market share in the chemical-fertilizer distribution market enters into exclusive dealing agreements with fertilizer manufacturers requiring them to supply only to A, thereby foreclosing (excluding) other fertilizer retailers from the distribution market.

<Example 2> Where a market-dominant business entity that controls a standard technology offers economic incentives for the purchase of specific goods or services on the condition that purchasers do not deal with competing business entities, or reduces royalties for the use of the standard technology, thereby distorting purchasers' choices and restricting or preventing switching.

(2) In assessing foreclosure effects, it shall be taken into account that a considerable period of time may be required for such effects to materialize in the market, depending on the characteristics of the industry or of the alleged violation.

f. Raising Competitors' Costs

(1) Whether the conduct increases, or is likely to increase, the costs of competitors (including potential competitors) shall be considered on a comprehensive basis. Artificially raising competitors' costs can weaken competitive pressure on the market-dominant business entity and may ultimately

lead to anti-competitive effects, including price increases, output reductions, restrictions on variety, or hindered innovation in the relevant market or adjacent markets.

(2) In assessing whether the conduct raises competitors' costs, primary consideration shall be given to whether the conduct blocks efficient distribution or supply channels, hinders reasonable access to resources necessary for production or distribution, or creates artificial entry barriers—thereby forcing competitors to incur substantial time and expense to overcome such impediments.

<Example> Where an automobile manufacturer delays or refuses to approve the relocation of sales outlets or the registration of sales personnel for independently operated distributors that compete with the manufacturer's directly managed outlets, thereby directly or indirectly increasing those distributors' operating costs.

V. Reassessment Period

Pursuant to the *Regulations on the Issuance and Management of Directives and Established Rules*, the Korea Fair Trade Commission shall review the validity of this Public Notice every three years from January 1, 2022 (i.e., by December 31 of each third year) and take measures such as amendments or improvements as necessary.

Addendum [<No.2021-18, Dec. 30, 2021>](#)

This Public Notice shall enter into force on December 30, 2021.